



BUYING A BUSINESS

If you have the funds, buying an existing business that is already operating may be a tempting option, since it removes the need to start from scratch. However, there are many reasons businesses are sold, including poor performance, so research the business thoroughly to find out why it is on the market. Seek professional advice, review the financial records, check online reviews, and ask around locally. Be aware that buying a business involves up-front investment, which will be at risk until the venture proves successful.

50%
of all small businesses
are operated from home

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Family business

Commercial entity owned and run by members of the same family, often across multiple generations.

Pros

- › Stability and continuity in the long term
- › Trust, loyalty, and understanding
- › Commitment and values shared
- › Profits remain within the wider family

Cons

- › Nepotism—a preference for hiring family members, even if they lack skills or experience
- › Potential for conflict, and conflicts that arise may be more difficult to resolve



Limited liability company (LLC)

Legally registered business, whose assets and debts belong to the company itself, not the owners.

Pros

- › Risk is lower because the owner(s) are not personally liable for business debts
- › Ability to go public to attract inward investment if rapid, high growth is anticipated

Cons

- › Owners invest their own money and assume legal responsibility
- › Company distributes part of profit to shareholders
- › Corporation tax and tax return must be filed and paid annually



Franchise

Independent branch of another business; franchisee pays a fee for the right to represent the parent business.

Pros

- › No need to develop an original business idea
- › Franchisor gives training, support, and knowledge
- › Risk is low, as business model is already proven
- › Amount of capital required is minimal

Cons

- › The business must still answer to the franchisor
- › Creative control lacking in brand, training, or culture
- › Franchisor could go bust
- › Payments to the franchisor are ongoing



Nonprofit

Cooperative, social enterprise, or charity that is committed to a cause rather than to making a profit.

Pros

- › Profits can be reinvested into beneficial causes
- › Eligibility for grants and tax exemptions
- › Opportunity to “make a difference”
- › Organization is self-governing

Cons

- › Profits cannot be dispersed—personal financial reward may be lower
- › Competition for funding, making finance uncertain
- › Reliance on the public's generosity and empathy for donations